ii. Absence of Legal Status and Instability

The partnership firm has no separate legal existence. It is inseparable from the partners composing it. As a result it is terminable on the death or insolvency of a partner.

iii. Limited Resources

The maximum number of partners in a partnership firm is 10 in the case of banking business and 20 in other cases. In actual practice the number will be well below this maximum because of the need for ensuring harmonious working. In view of this, only limited resources are available. Modern large-scale enterprises which require huge capital outlay cannot be started.

iv. Limited Risk-taking

In view of the danger of unlimited liability, the partners tend to be overcautious. So, normally they do not want to assume risks starting new ventures.

v. Risk of implied authority

Every partner can bind the firm and his other partners by his acts. Therefore all other partners become liable to a greater extent because of the folly and fraud committed by a fellow partner.

vi. Lack of public confidence

As its accounts need not be audited and published, it lacks public confidence.

5.03 Partnership Deed and its Contents

Though a partnership agreement need not necessarily be in writing, it is important to have a written agreement in order to avoid misunderstandings; it is desirable to have a written agreement. A carefully drafted partnership deed helps in ironing out differences which may develop among partners and in ensuring smooth running of the partnership business. It should be properly stamped and registered.

Contents of Partnership Deed

i. Name of the Firm

ii. Nature of the proposed business

iii. Duration of partnership

Duration of the partnership business whether it is to be run for a fixed period of time or whether it is to be dissolved after completing a particular venture.

iv. Capital contribution

The capital is to be contributed by the partners. It must be remembered that capital contribution is not necessary to become a partner for one who contributes his organising power, business acumen, managerial skill etc., instead of capital.

v. Withdrawal from the firm

The amount that can be withdrawn from the firm by each partner.

vi. Profit/loss sharing

The ratio in which the profits or losses are to be shared. If the profit sharing ratio is not specified in the deed, all the partners must share the profits and bear the losses equally.

vii. Interest on capital

Whether any interest is to be allowed on capital and if so, the rate of interest. If the deed is silent on interest on capital, the rules for interest on capital in partnership act will take effect.

commerce 1-15.indd 34 2/17/2021 4:48:47 PM